Chapter 6

Table of Contents

CHAPTER 6

CREDIT RISK MONITORING, ASSET CLASSIFICATION, PROVISIONING, REMEDIATION AND RECOVERY FRAMEWORK

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6.0 PREAMBLE AND POLICY SUPREMACY

6.0.1 This Chapter constitutes the governing policy of Stratum Capital Bank ("the Bank") for the ongoing monitoring, classification, provisioning, remediation, restructuring, recovery, and write-off of credit exposures across all business lines, legal entities, and geographies in which the Bank operates.

6.0.2 This Chapter is issued as an integral and legally binding component of the Enterprise Governance & Risk Framework ("the Framework") and shall be read in conjunction with Chapter 1 (Governance Charter and Framework Architecture), Chapter 2 (Board and Committee Governance), Chapter 3 (Enterprise Risk Management Framework), Chapter 4 (Compliance and Regulatory Affairs Framework), and Chapter 5 (Loan Policy Manual & Credit Decision Framework).

6.0.3 Where any provision of this Chapter appears to conflict with a provision of another Chapter of the Framework, the provisions of Chapter 1 (Policy Hierarchy and Precedence) shall govern resolution of such conflict. Absent an express precedence determination, the more restrictive or conservative requirement shall prevail, and the ambiguity shall be escalated to the Enterprise Policy Governance Office ("EPGO") within five (5) Business Days of identification.

6.0.4 This Chapter supersedes all prior divisional, regional, or business-unit-level credit monitoring, classification, provisioning, or recovery policies, circulars, memoranda, or informal practices that are inconsistent with its provisions. No business unit, subsidiary, branch, regional office, or overseas operation may issue a supplementary or local policy that dilutes, narrows, or otherwise weakens the requirements set out herein. Supplementary policies may only impose requirements that are equal to or more conservative than those established in this Chapter, and any such supplementary policy must be filed with and formally acknowledged by the EPGO prior to implementation.

6.0.5 This Chapter operates downstream of Chapter 5. Chapter 5 governs the origination, underwriting, approval, and sanctioning of credit exposures. This Chapter governs the entire post-disbursement lifecycle of those exposures, from first drawdown through final resolution (repayment in full, restructuring, recovery, or write-off). Where a credit facility approved under Chapter 5 subsequently requires classification action, provisioning, restructuring, or recovery treatment under this Chapter, the account file must contain unbroken documentary continuity linking the original Chapter 5 Credit Approval Memorandum to all subsequent actions taken under this Chapter.

6.0.6 Non-compliance with any mandatory requirement of this Chapter constitutes a Policy Breach and shall be subject to the escalation, disciplinary, and regulatory reporting provisions set out in Section 6.18 and in Chapter 2, Section 2.14 (Accountability and Consequence Management).

6.1 PURPOSE AND OBJECTIVES

6.1.1 The purpose of this Chapter is to establish a comprehensive, auditable, and enforceable framework for:

6.1.1.1 The continuous monitoring of credit exposures throughout their lifecycle to detect early signs of credit deterioration;

6.1.1.2 The timely, accurate, and consistent classification of credit assets according to objective, rule-based criteria;

6.1.1.3 The calculation, approval, and recognition of credit loss provisions in accordance with applicable accounting standards and prudential regulatory requirements;

6.1.1.4 The governance of loan restructuring, modification, and forbearance activity to prevent classification arbitrage or evergreening of impaired exposures;

6.1.1.5 The management of collections and recovery activity in a manner that is fair, lawful, and consistent with the Bank's Conduct Risk and Treating Customers Fairly standards (Chapter 9);

6.1.1.6 The governance of write-off and post-write-off recovery activity; and

6.1.1.7 The responsible integration of artificial intelligence and machine learning ("AI/ML") tools into credit monitoring and early warning processes, subject to the principle that such tools shall support, and shall never replace, human judgement in any classification, provisioning, restructuring, or recovery decision.

6.1.2 This Chapter is designed to ensure that the Bank maintains an accurate and defensible view of the credit quality of its portfolio at all times, sufficient to withstand review by Internal Audit, external audit, banking supervisors, and rating agencies, and sufficient to support retrieval and validation by AI-powered regulatory and audit information retrieval systems (RAG systems) operating on the Bank's policy corpus.

6.1.3 Every requirement in this Chapter is drafted to be independently testable by Internal Audit and Compliance through inspection of documentary evidence, system logs, committee minutes, and approval records, without reliance on verbal representation.

6.2 SCOPE AND APPLICABILITY

6.2.1 This Chapter applies to all credit exposures booked on the Bank's balance sheet, including but not limited to: corporate loans, commercial loans, retail loans, credit cards, overdrafts, trade finance facilities, guarantees, letters of credit, leases, and any other on-balance-sheet or off-balance-sheet credit exposure that carries counterparty credit risk.

6.2.2 This Chapter applies to all business units, including Corporate Banking, Commercial Banking, Retail Banking, SME Banking, Treasury (in respect of counterparty credit exposures), Private Banking, and all overseas branches, subsidiaries, and representative offices, subject to Section 6.2.4.

6.2.3 This Chapter applies to all employees, contractors, and third-party service providers who perform credit monitoring, classification, provisioning, restructuring, collections, recovery, or write-off functions on behalf of the Bank, including outsourced collections agencies engaged under Chapter 11 (Third-Party and Outsourcing Risk Management).

6.2.4 Where a host jurisdiction's regulatory requirements impose asset classification, provisioning, or recovery standards that are more conservative than those set out in this Chapter, the host jurisdiction requirement shall apply in that jurisdiction, and the relevant Country Risk Officer must document the variance and file it with the EPGO and Group Credit Risk Management ("GCRM") within thirty (30) calendar days of identification. Where the host jurisdiction requirement is less conservative than this Chapter, this Chapter shall apply.

6.2.5 This Chapter does not apply to the initial underwriting and sanctioning of credit facilities, which is governed exclusively by Chapter 5. This Chapter takes effect from the date of first disbursement or first utilization of a sanctioned facility.

6.3 POLICY SUPREMACY, REGULATORY ALIGNMENT AND INTERPRETIVE AUTHORITY

6.3.1 This Chapter is designed to operationalize, at minimum, the principles and quantitative standards set out in: the Basel Committee on Banking Supervision guidance on prudential treatment of problem assets and provisioning; applicable expected credit loss accounting standards (IFRS 9 or the equivalent local Generally Accepted Accounting Principles, as applicable to the relevant reporting entity); and all binding regulatory circulars, directions, and guidance issued by the Bank's Primary Regulator and by host-country regulators, as maintained in the Regulatory Obligations Register under Chapter 4, Section 4.6.

6.3.2 In the event of a conflict between this Chapter and a binding regulatory requirement, the binding regulatory requirement shall prevail, and the Head of Compliance shall immediately notify the CRO and the EPGO, who shall jointly initiate an emergency policy amendment under Section 6.21.4.

6.3.3 Sole interpretive authority over ambiguous provisions of this Chapter rests with the Group Chief Risk Officer, acting in consultation with the Head of Compliance. No business unit head, relationship manager, or regional credit officer may unilaterally interpret this Chapter in a manner that results in a more favorable classification, provisioning, or recovery outcome than a plain reading of the Chapter would produce. Any request for interpretive guidance must be submitted in writing to GCRM and logged in the Policy

Interpretation Register, together with the CRO's or delegate's written response, which shall itself become binding precedent for materially identical fact patterns.

6.4 GOVERNANCE STRUCTURE AND ROLES & RESPONSIBILITIES

6.4.1 Three Lines of Defense

6.4.1.1 First Line of Defense: Business unit heads, relationship managers, portfolio managers, and collections officers are accountable for the day-to-day monitoring of accounts within their portfolio, timely identification and escalation of early warning signals, and accurate and timely input of classification-relevant data into the Bank's credit systems of record.

6.4.1.2 Second Line of Defense: Group Credit Risk Management (GCRM), the Credit Risk Monitoring Unit ("CRMU"), and Compliance are accountable for independent oversight of classification accuracy, provisioning adequacy, restructuring governance, and adherence to this Chapter. The second line holds veto authority over first-line classification recommendations, exercised in accordance with Section 6.8.9.

6.4.1.3 Third Line of Defense: Internal Audit is accountable for independent, periodic assurance testing of adherence to this Chapter, as set out in Section 6.16.

6.4.2 Board Risk Committee (BRC)

6.4.2.1 The BRC holds ultimate oversight accountability for the adequacy of this Chapter and for the overall credit quality and provisioning adequacy of the Bank's portfolio.

6.4.2.2 The BRC shall review, on a quarterly basis at minimum, the Portfolio Quality and Classification Report described in Section 6.15.3, and shall formally minute its review, any concerns raised, and any directions issued to management.

6.4.2.3 The BRC shall approve this Chapter and all material amendments to it, in accordance with Section 6.21.

6.4.3 Credit Risk Management Committee (CRMC)

6.4.3.1 The CRMC, chaired by the CRO, is accountable for: approval of the Early Warning Indicator ("EWI") framework and thresholds (Section 6.7); approval of the provisioning methodology and key assumptions (Section 6.9); approval of restructuring frameworks and delegated approval authorities (Section 6.10); and quarterly review of Watchlist and Special Mention accounts.

6.4.3.2 The CRMC shall meet monthly and shall maintain minuted records of all decisions, dissents, and follow-up actions, retained in accordance with Section 6.20.

6.4.4 Chief Risk Officer (CRO)

6.4.4.1 The CRO is the designated Framework Owner of this Chapter and is personally accountable to the BRC for its enforcement, adequacy, and periodic review.

6.4.4.2 The CRO shall certify, on a semi-annual basis, in writing to the BRC, that the Bank's asset classification and provisioning outcomes have been produced in accordance with this Chapter, or shall disclose and explain any material departure.

6.4.5 Credit Risk Monitoring Unit (CRMU)

6.4.5.1 The CRMU is the operational second-line function responsible for: operating the Early Warning System described in Section 6.7; conducting independent classification reviews under Section 6.8.9; validating provisioning calculations under Section 6.9.8; and maintaining the Watchlist Register.

6.4.6 Business Unit Heads and Relationship Managers

6.4.6.1 Business unit heads and relationship managers bear first-line accountability for the accuracy and timeliness of account-level data (including days-past-due status, covenant compliance status, and financial statement currency) that feeds classification and provisioning determinations. Deliberate or negligent misstatement of such data constitutes a serious disciplinary matter under Chapter 2, Section 2.14, and may constitute regulatory misconduct reportable under Chapter 4.

6.4.7 Model Risk Management Function

6.4.7.1 Model Risk Management, as established under Chapter 3, Section 3.11, holds independent validation authority over all AI/ML and statistical models used in early warning, classification support, and provisioning calculation under this Chapter, in accordance with Section 6.13.

6.4.8 Internal Audit

6.4.8.1 Internal Audit shall maintain independence from all first- and second-line functions described in this Section and shall conduct the assurance activities described in Section 6.16.

6.4.9 Responsibility Assignment Matrix

6.4.9.1 The Bank shall maintain a Responsibility Assignment Matrix ("RACI") for every process governed by this Chapter, mapping each mandatory activity to a Responsible, Accountable, Consulted, and Informed party. The RACI shall be maintained by GCRM, reviewed annually, and made available to Internal Audit, Compliance, and regulators upon request. No process step described in this Chapter may be performed by a party not identified in the RACI as Responsible or Accountable for that step.

6.5 DEFINITIONS AND CLASSIFICATION TAXONOMY

6.5.1 For the purposes of this Chapter, the following definitions apply, in addition to the master Definitions Register maintained under Chapter 1, Section 1.4. Where a term is defined both in this Section and in the master Definitions Register, the master Definitions Register shall prevail, and GCRM shall reconcile any discrepancy within thirty (30) calendar days.

6.5.1.1 “Days Past Due” (DPD) means the number of calendar days elapsed since the contractual due date of any principal, interest, or fee payment that has not been received in full by the Bank.

6.5.1.2 “Special Mention Account” (SMA) means a credit exposure exhibiting DPD between one (1) and eighty-nine (89) days, or exhibiting qualitative signs of stress as defined in Section 6.6.4, without yet meeting the definitional threshold for Non-Performing status.

6.5.1.3 “Non-Performing Asset” (NPA) means a credit exposure in respect of which interest or principal has remained overdue for a period of ninety (90) days or more, or which otherwise meets the qualitative or quantitative default criteria set out in Section 6.8.

6.5.1.4 “Substandard Asset” means a Non-Performing Asset that has remained in Non-Performing status for a period not exceeding twelve (12) months from the date of first classification as Non-Performing.

6.5.1.5 “Doubtful Asset” means a Non-Performing Asset that has remained in Substandard status for a period exceeding twelve (12) months.

6.5.1.6 “Loss Asset” means an asset identified by the Bank, Internal Audit, external auditors, or the Primary Regulator as uncollectible or of such little value that its continuance as a bankable asset is not warranted, whether or not any realizable value remains and whether or not partial recovery is anticipated.

6.5.1.7 “Watchlist Account” means an account, irrespective of DPD status, that has been flagged by the First or Second Line of Defense, or by the Early Warning System, as exhibiting elevated credit risk warranting enhanced monitoring under Section 6.6.6.

6.5.1.8 “Restructuring” means any modification to the original contractual terms of a credit facility—including but not limited to tenor extension, interest rate concession, principal moratorium, or partial waiver—granted to a borrower experiencing financial difficulty, whether or not the account is classified as Non-Performing at the time of restructuring.

6.5.1.9 “Evergreening” means the practice, expressly prohibited under this Chapter, of extending new credit, restructuring, or otherwise modifying a facility for the primary purpose of avoiding or delaying accurate classification of an underlying credit deterioration, rather than for a documented, viable business or rehabilitation purpose.

6.5.1.10 “Write-off” means the removal of a credit exposure, in whole or in part, from the Bank’s on-balance-sheet asset register, with a corresponding charge against provisions, without extinguishing the Bank’s legal right to pursue recovery unless expressly and separately waived.

6.5.1.11 “Expected Credit Loss” (ECL) means the probability-weighted estimate of credit losses over the relevant time horizon, calculated in accordance with Section 6.9.

6.5.2 Classification Taxonomy Table

6.5.2.1 The Bank recognizes five (5) mandatory Asset Classification Stages, each of which must be reflected in the Bank’s system of record and reconciled monthly by the CRMU: (i)

Standard/Stage 1 – Performing, no significant increase in credit risk; (ii) Special Mention/Stage 2 – Performing, but significant increase in credit risk observed; (iii) Substandard/Stage 3 – Non-Performing, within twelve months of classification; (iv) Doubtful/Stage 3 – Non-Performing, beyond twelve months; (v) Loss/Stage 3 – identified as uncollectible.

6.5.2.2 No account may be assigned a classification stage outside this taxonomy. Any proposal to introduce a sub-classification or interim category must be submitted to the CRMC and, if approved, formally incorporated into this Chapter through the amendment process in Section 6.21.

6.6 CREDIT RISK MONITORING FRAMEWORK

6.6.1 General Requirement

6.6.1.1 Every credit exposure booked on the Bank's balance sheet shall be subject to continuous, systematic monitoring from the date of first disbursement until final resolution. Monitoring shall not be episodic or discretionary; it shall be governed by the mandatory monitoring calendar set out in Section 6.6.2.

6.6.2 Mandatory Monitoring Calendar

6.6.2.1 The following minimum monitoring frequencies are mandatory and enforceable, and deviation requires documented, time-bound exception approval under Section 6.18:

6.6.2.1.1 Large Corporate and Commercial exposures above the threshold defined in Chapter 5, Section 5.4 (Large Exposure Threshold): monthly account review, quarterly covenant compliance certification, and annual full credit review including updated financial statement analysis.

6.6.2.1.2 SME exposures: quarterly account review and annual full credit review.

6.6.2.1.3 Retail secured exposures (mortgages, auto loans): monthly automated DPD and collateral value monitoring, with manual review triggered upon any Early Warning Indicator.

6.6.2.1.4 Retail unsecured exposures (credit cards, personal loans): monthly automated portfolio-level monitoring with account-level manual review triggered upon any Early Warning Indicator.

6.6.2.1.5 Trade finance and contingent exposures: monthly utilization and exposure monitoring, with review upon any instrument expiry, renewal, or drawdown event.

6.6.3 Covenant Monitoring

6.6.3.1 All financial and non-financial covenants attached to a facility under Chapter 5, Section 5.9 (Covenant Structuring) must be tracked in the Bank's Covenant Monitoring Register, with responsible-party assignment, due dates, and evidentiary attachment requirements.

6.6.3.2 Any covenant breach, whether financial or non-financial, must be logged within five (5) Business Days of detection and escalated to GCRM. A covenant breach that is not cured or formally waived within the timeframe specified in the facility agreement shall trigger mandatory Watchlist classification under Section 6.6.6, irrespective of DPD status.

6.6.4 Qualitative Stress Indicators

6.6.4.1 The following qualitative indicators, without limitation, shall trigger mandatory review and potential reclassification irrespective of DPD status: material adverse change in the borrower's industry or sector outlook; downgrade of external or internal credit rating by two or more notches; auditor qualification, going-concern opinion, or auditor resignation; material litigation or regulatory action against the borrower; significant related-party transactions inconsistent with prior disclosure; unexplained delay in financial statement submission exceeding sixty (60) days beyond the contractual reporting deadline; and diversion of funds identified through end-use monitoring under Chapter 5, Section 5.12.

6.6.5 End-Use and Fund Utilization Monitoring

6.6.5.1 For all facilities exceeding the threshold defined in Chapter 5, Section 5.4, the relationship manager shall conduct and document end-use verification at intervals no less frequent than quarterly, cross-referencing disbursement records, invoices, and bank statement analysis. Any material discrepancy shall be escalated within five (5) Business Days as a potential Early Warning event.

6.6.6 Watchlist Governance

6.6.6.1 Any account triggering an Early Warning Indicator, a qualitative stress signal under 6.6.4, or an unwaived covenant breach under 6.6.3.2 shall be placed on the Watchlist Register within five (5) Business Days.

6.6.6.2 Watchlist accounts shall be reviewed monthly by the CRMU and reported to the CRMC, with a documented remediation plan, responsible officer, and target resolution date for each account.

6.6.6.3 An account may only be removed from the Watchlist upon documented evidence that the triggering condition has been resolved, verified independently by the CRMU, and formally approved by the CRMC. Removal by the originating business unit alone is not permitted.

6.7 EARLY WARNING SYSTEM (EWS) AND AI-ASSISTED SURVEILLANCE

6.7.1 Purpose of the EWS

6.7.1.1 The Bank shall maintain an enterprise-wide Early Warning System combining rule-based triggers, statistical models, and, where approved under Section 6.13, AI/ML-based anomaly detection tools, for the purpose of identifying credit deterioration signals in advance of contractual default.

6.7.2 Mandatory Early Warning Indicators

6.7.2.1 The EWS shall, at minimum, monitor the following indicator categories for every credit exposure: payment behavior indicators (partial payments, bounced payments, irregular drawdown patterns); financial statement deterioration indicators (declining revenue, margin compression, leverage increase, liquidity ratio deterioration); external indicators (adverse media, litigation filings, regulatory sanctions, rating agency actions, bureau score deterioration); transactional indicators (account turnover decline, unusual fund movements, cheque returns); and collateral indicators (valuation decline, insurance lapse, title defect discovery).

6.7.3 Governance of Thresholds

6.7.3.1 All EWI thresholds shall be approved by the CRMC, documented in the Early Warning Indicator Register, and reviewed at least annually or upon any material portfolio event (e.g., sectoral shock, macroeconomic stress event) as determined by the CRO.

6.7.3.2 Any change to an EWI threshold must be supported by a documented rationale, quantitative back-testing evidence where applicable, and CRMC approval minute. Threshold changes may not be made by the CRMU or business units acting alone.

6.7.4 AI/ML Role in the EWS — Mandatory Human Oversight Clause

6.7.4.1 Where the Bank deploys AI/ML tools within the EWS—including but not limited to anomaly detection models, natural language processing of adverse media, or predictive default-probability scoring—such tools shall operate strictly in an advisory and decision-support capacity.

6.7.4.2 AI/ML outputs shall never automatically trigger classification, restructuring, provisioning, or recovery action. Every AI/ML-generated alert must be reviewed, and every consequential decision must be made, by an authorized human officer identified in the RACI under Section 6.4.9, who shall document the rationale for accepting, modifying, or overriding the AI/ML output.

6.7.4.3 The Bank shall maintain, for every AI/ML tool deployed under this Section, a Human Override Log capturing: the AI/ML output; the reviewing officer's identity; the decision taken; and the rationale, including the reason for any override. This log shall be retained in accordance with Section 6.20 and made available to Internal Audit, Model Risk Management, and the Primary Regulator upon request.

6.7.4.4 No officer may cite an AI/ML output as the sole justification for a classification, provisioning, restructuring, or recovery decision. The documented human analysis must independently address each requirement of the applicable Section of this Chapter.

6.7.5 Escalation of EWS Alerts

6.7.5.1 High-severity EWS alerts, as defined in the Early Warning Indicator Register, shall be escalated to the relevant business unit head and the CRMU within one (1) Business Day. Medium-severity alerts shall be escalated within three (3) Business Days. All escalations and their resolution shall be logged in the Watchlist Register or, where resolution is immediate and documented, in the Account Monitoring File.

6.8 ASSET CLASSIFICATION POLICY

6.8.1 Governing Principle

6.8.1.1 Asset classification shall be performed strictly in accordance with objective, rule-based criteria set out in this Section. Classification is a compliance-driven determination, not a business or relationship-management decision, and shall not be influenced by considerations of client relationship value, cross-sell potential, or business unit revenue targets.

6.8.2 Quantitative Classification Triggers

6.8.2.1 An account shall be classified as Non-Performing (Substandard, at minimum) upon the earlier of: (i) ninety (90) or more consecutive Days Past Due on principal or interest; (ii) the borrower being classified Non-Performing by any other bank or financial institution under an information-sharing arrangement to which the Bank is party, subject to independent verification; or (iii) any of the qualitative triggers in Section 6.8.3 being met.

6.8.3 Qualitative Classification Triggers

6.8.3.1 An account shall be classified as Non-Performing, irrespective of DPD status, upon determination of any of the following: the borrower has filed for or become subject to insolvency, bankruptcy, or equivalent proceedings; the Bank has determined, based on documented analysis, that full recovery of principal and interest is unlikely without recourse to collateral realization or restructuring; fraud has been identified in connection with the facility, subject to immediate referral under Chapter 8 (Fraud Risk Management); or the facility has been restructured in circumstances that meet the Non-Performing restructuring criteria in Section 6.10.6.

6.8.4 Contagion and Group Classification

6.8.4.1 Where a borrower is part of a corporate group or is a connected party as defined in Chapter 5, Section 5.15 (Connected Lending), classification of one group member as Non-Performing shall trigger a mandatory review of all other group exposures within thirty (30) calendar days to determine whether contagion classification is warranted. The outcome of this review, including the rationale for extending or not extending classification, must be documented and approved by GCRM.

6.8.5 Upgrade from Non-Performing Status

6.8.5.1 An account may only be upgraded from Non-Performing to Performing (Standard) status upon satisfaction of all of the following mandatory conditions, documented in the Account Classification File: (i) all overdue principal and interest have been paid in full; (ii) the account has demonstrated satisfactory performance for a minimum probationary period of ninety (90) calendar days following full regularization, or such longer period as required by the Primary Regulator; (iii) no restructuring concession remains outstanding; and (iv) the upgrade has been independently verified and approved by the CRMU.

6.8.5.2 Upgrade decisions made solely by the originating business unit, without independent CRMU verification, are void and shall be reversed upon discovery, with the reversal logged as a Policy Breach under Section 6.18.

6.8.6 Downgrade Progression

6.8.6.1 Downgrade from Substandard to Doubtful, and from Doubtful to Loss, shall occur automatically upon expiry of the time thresholds set out in Section 6.5.1.5 and 6.5.1.6, without requiring further deterioration evidence, unless the account has been upgraded in accordance with Section 6.8.5 prior to the threshold date.

6.8.7 Classification of Restructured Accounts

6.8.7.1 Restructured accounts shall be classified in accordance with Section 6.10.6 and shall in no circumstance be classified more favorably than the classification that would have applied absent the restructuring, except where the restructuring meets the strict rehabilitation criteria set out in Section 6.10.7.

6.8.8 Frequency of Classification Review

6.8.8.1 Classification status for every account shall be recalculated no less frequently than monthly, through an automated batch process reconciled by the CRMU, supplemented by event-driven reclassification triggered by any qualitative indicator under Section 6.8.3 or 6.6.4.

6.8.9 Independent Second-Line Classification Review

6.8.9.1 The CRMU shall independently review, on a sample basis of no less than the percentage specified in the Annual Assurance Plan (Section 6.16.3), all business-unit-proposed classification and upgrade decisions for exposures above the Large Exposure Threshold defined in Chapter 5, Section 5.4, and on a full-population basis for all Watchlist and Non-Performing accounts. The CRMU holds binding veto authority over any classification determination found inconsistent with this Chapter, and its determination shall prevail over that of the business unit unless overturned by the CRMC.

6.8.10 Documentation Requirement

6.8.10.1 Every classification, upgrade, downgrade, or exception decision must be supported by a Classification Decision Record containing: the account identifier; the classification stage before and after the decision; the specific triggering criterion under this Section; the evidentiary basis; the identity and role of the approving officer(s); and the date of decision. No classification decision without a corresponding Classification Decision Record shall be deemed valid, and its absence shall be reported as a Policy Breach.

6.9 EXPECTED CREDIT LOSS AND PROVISIONING POLICY

6.9.1 Governing Principle

6.9.1.1 The Bank shall maintain credit loss provisions calculated on an Expected Credit Loss basis consistent with the applicable accounting standard, and no less conservative than the minimum regulatory provisioning requirements applicable in each jurisdiction of operation, as maintained in the Regulatory Obligations Register (Chapter 4, Section 4.6).

6.9.2 Three-Stage Provisioning Model

6.9.2.1 Stage 1 (Standard/Performing, no significant increase in credit risk): provision shall be calculated on a twelve-month Expected Credit Loss basis.

6.9.2.2 Stage 2 (Special Mention/significant increase in credit risk): provision shall be calculated on a lifetime Expected Credit Loss basis.

6.9.2.3 Stage 3 (Non-Performing – Substandard, Doubtful, or Loss): provision shall be calculated on a lifetime Expected Credit Loss basis, incorporating specific, account-level loss estimation as set out in Section 6.9.5.

6.9.3 Minimum Regulatory Provisioning Floors

6.9.3.1 Notwithstanding the model-based ECL calculated under Section 6.9.2, the Bank shall apply, at minimum, the following provisioning floors as a percentage of the outstanding exposure, and shall provide the higher of the model-based ECL or the floor: Special Mention accounts, a minimum floor as prescribed in the Regulatory Obligations Register; Substandard accounts, a minimum floor of fifteen percent (15%) of the secured portion and twenty-five percent (25%) of the unsecured portion, or the applicable regulatory floor if higher; Doubtful accounts, a minimum floor of twenty-five percent (25%) to one hundred percent (100%) depending on ageing within the Doubtful category, as set out in the Provisioning Matrix maintained by GCRM; and Loss accounts, one hundred percent (100%) provisioning.

6.9.3.2 The Provisioning Matrix referenced in Section 6.9.3.1 is maintained as a controlled annexure to this Chapter, subject to CRMC approval and annual review, and forms an enforceable part of this policy.

6.9.4 Collateral Valuation in Provisioning

6.9.4.1 Collateral value used to offset provisioning requirements shall be based only on independent, current valuations obtained in accordance with Chapter 5, Section 5.11 (Collateral Valuation Standards). Valuations older than the maximum validity period specified in Chapter 5, Section 5.11.4 shall not be used for provisioning purposes and shall be treated as nil value until refreshed.

6.9.4.2 Haircuts applied to collateral value for provisioning purposes shall follow the Collateral Haircut Schedule maintained by GCRM and shall not be overridden by business units.

6.9.5 Specific Provisioning for Significant Exposures

6.9.5.1 For all Non-Performing exposures above the threshold defined by the CRMC as "Significant Exposures," provisioning shall not rely solely on the Provisioning Matrix but shall be supported by an account-specific Loss Given Default analysis, documented in a

Specific Provisioning Memorandum, addressing realizable collateral value, expected recovery timeline, legal enforceability, and any restructuring prospects.

6.9.6 AI/ML Role in Provisioning Calculation

6.9.6.1 The Bank may employ statistical or AI/ML models to generate Probability of Default, Loss Given Default, and Exposure at Default estimates feeding the ECL calculation. Such models shall be governed under Section 6.13 and Chapter 3, Section 3.11 (Model Risk Management).

6.9.6.2 Model-generated ECL outputs shall be reviewed by the Provisioning Committee (a standing sub-committee of the CRMC) prior to inclusion in the Bank's financial statements. No model output shall be posted directly to the general ledger without human review, reconciliation, and sign-off. Model outputs shall support, but never replace, the judgement of the Provisioning Committee, which retains authority to apply a Management Overlay under Section 6.9.7.

6.9.7 Management Overlay

6.9.7.1 Where the Provisioning Committee determines that model-based ECL output does not adequately capture emerging risks (including macroeconomic stress not yet reflected in historical data, sector-specific shocks, or model limitations identified by Model Risk Management), it may apply a documented Management Overlay, subject to: (i) a written rationale; (ii) quantification methodology; (iii) approval by the CRO; and (iv) disclosure to the BRC and, where material, to external auditors and the Primary Regulator.

6.9.8 Independent Validation of Provisioning

6.9.8.1 The CRMU shall independently recalculate or reconcile provisioning outputs on a monthly basis for all Significant Exposures and on a sample basis for the remainder of the portfolio, and shall report any material variance exceeding the threshold defined in the Annual Assurance Plan to the CRMC and to Finance.

6.9.9 Provisioning Approval Authority

6.9.9.1 Aggregate portfolio provisioning levels shall be approved monthly by the Provisioning Committee and reported quarterly to the BRC. Any release of specific provisions exceeding the threshold defined by the CRMC requires CRO approval and CRMC ratification, documented in the Provisioning Decision Register.

6.9.10 Documentation Requirement

6.9.10.1 Every provisioning determination must be supported by evidence sufficient for independent recalculation by Internal Audit or external auditors, including the model version used, input data snapshot date, collateral valuation reference, and any Management Overlay applied.

6.10 RESTRUCTURING, MODIFICATION AND FORBEARANCE GOVERNANCE

6.10.1 Governing Principle

6.10.1.1 Restructuring is a legitimate credit risk management tool where a borrower faces genuine, documented financial difficulty and demonstrates a viable path to repayment. Restructuring shall never be used to conceal, delay recognition of, or avoid classification and provisioning consequences of credit deterioration. Any restructuring found to constitute Evergreening under Section 6.5.1.9 constitutes a serious Policy Breach subject to the escalation provisions of Section 6.18 and potential regulatory reporting under Chapter 4.

6.10.2 Eligibility Criteria

6.10.2.1 A restructuring proposal shall only be considered where the borrower has submitted, and the relationship manager has independently verified, documented evidence of financial difficulty (such as declining cash flows, sector-wide stress, or a specific identifiable adverse event) and a credible, quantified rehabilitation or repayment plan extending no longer than the maximum tenor extension permitted under the Restructuring Framework approved by the CRMC.

6.10.3 Approval Authority

6.10.3.1 Restructuring proposals shall be approved strictly in accordance with the Delegated Restructuring Approval Matrix maintained by GCRM, which shall mirror, at minimum, the escalation thresholds of the Credit Approval Authority Matrix in Chapter 5, Section 5.6, and shall in no case permit a restructuring to be approved at a lower authority level than the original facility approval.

6.10.3.2 Restructuring of any Non-Performing account, or any account above the Large Exposure Threshold, requires CRMC approval and may not be approved by the originating business unit or a single relationship manager under any circumstance.

6.10.4 Independent Viability Assessment

6.10.4.1 Every restructuring proposal shall be accompanied by an independent viability assessment prepared or reviewed by GCRM, addressing: the root cause of financial difficulty; the reasonableness and achievability of the proposed repayment plan; sensitivity analysis under stressed assumptions; and comparison of expected recovery under restructuring versus expected recovery under immediate enforcement/recovery action.

6.10.5 Restructuring Register

6.10.5.1 All restructured accounts shall be recorded in the Restructuring Register, maintained by GCRM, capturing the original terms, the modified terms, the classification before and after restructuring, the approval authority, and the post-restructuring monitoring plan. This Register shall be made available to Internal Audit and the Primary Regulator upon request.

6.10.6 Mandatory Classification Consequences of Restructuring

6.10.6.1 Restructuring of a Non-Performing account shall not result in an upgrade to Performing status at the time of restructuring. The account shall remain classified in accordance with Section 6.8 and may only be upgraded following satisfaction of the conditions in Section 6.8.5 and a post-restructuring probationary performance period of not less than twelve (12) months of satisfactory, unaided repayment.

6.10.6.2 Restructuring of a Performing account that meets the eligibility criteria of Section 6.10.2 due to genuine financial difficulty shall, at minimum, result in Special Mention classification, subject to further downgrade if the qualitative triggers of Section 6.6.4 are independently present.

6.10.7 Rehabilitation Exception

6.10.7.1 A restructured account may be classified more favorably than Section 6.10.6 would otherwise require only where all of the following are satisfied and independently verified by GCRM: (i) the restructuring was approved prior to any Non-Performing classification trigger under Section 6.8.2 or 6.8.3 being met; (ii) the borrower has provided additional credit enhancement acceptable to GCRM; and (iii) the CRMC has expressly approved the exception with documented rationale. This exception shall be used sparingly, reported in aggregate to the BRC quarterly, and shall never be applied to circumvent the intent of Section 6.10.1.

6.10.8 Multiple Restructuring Limitation

6.10.8.1 An account that has been restructured more than once within a rolling thirty-six (36) month period shall be automatically classified Non-Performing (Substandard, at minimum) irrespective of current DPD status, and shall require CRMC review to determine whether Doubtful classification and/or recovery action under Section 6.11 is warranted.

6.10.9 AI/ML Role in Restructuring Assessment

6.10.9.1 AI/ML tools may be used to flag accounts as candidates for restructuring review or to model recovery-versus-restructuring scenarios. Such tools shall support, and shall never replace, the independent viability assessment required under Section 6.10.4, which must be prepared and signed off by a qualified GCRM officer.

6.11 RECOVERY AND COLLECTIONS FRAMEWORK

6.11.1 Governing Principle

6.11.1.1 Recovery and collections activity shall be conducted lawfully, fairly, and consistently with the Bank's Conduct Risk and Treating Customers Fairly standards under Chapter 9, and in accordance with all applicable debt collection regulations in each jurisdiction of operation.

6.11.2 Segmentation of Recovery Approach

6.11.2.1 The Bank shall maintain a tiered recovery approach segmented by DPD bucket and exposure size, as set out in the Collections and Recovery Playbook maintained by the Recovery Management function, escalating from early-stage soft collections through formal demand, legal action, and collateral enforcement.

6.11.3 Governance of Third-Party Collections Agencies

6.11.3.1 Any collections agency engaged to act on the Bank's behalf must be onboarded and monitored in accordance with Chapter 11 (Third-Party and Outsourcing Risk Management), and the Bank retains full accountability for the conduct of such agencies. All collections agency scripts, communications templates, and escalation procedures must be pre-approved by Compliance and reviewed annually.

6.11.4 Legal Recovery Action

6.11.4.1 Initiation of formal legal recovery proceedings, including insolvency petitions, collateral enforcement, or asset seizure, requires approval in accordance with the Legal Recovery Approval Matrix maintained jointly by GCRM and the Legal function, and must be preceded by a documented cost-benefit and recoverability analysis.

6.11.5 Settlement and Compromise

6.11.5.1 Any settlement or compromise involving a waiver of principal, interest, or fees exceeding the threshold defined by the CRMC requires approval by the Recovery Committee (a standing sub-committee of the CRMC), supported by a documented comparison of expected recovery under settlement versus continued recovery or legal action.

6.11.6 Recovery Monitoring and Reporting

6.11.6.1 Recovery performance shall be tracked account-by-account in the Recovery Management System and reported monthly to the CRMC, including recovery rate by vintage, by product, and by recovery channel (in-house, agency, legal).

6.11.7 AI/ML Role in Recovery Prioritization

6.11.7.1 AI/ML tools may be used to prioritize collections contact strategies or predict propensity to pay. Such tools shall support, and shall never replace, human judgement in decisions to escalate to legal action, approve settlements, or determine hardship treatment. Every AI/ML-informed recovery action affecting a customer's legal rights or credit standing must be reviewed and authorized by a human officer, with the rationale documented in the Recovery Management System.

6.11.8 Hardship and Vulnerable Customer Protocols

6.11.8.1 The Bank shall maintain, in accordance with Chapter 9, a documented Hardship Assessment Protocol requiring human review of any customer-declared hardship claim prior to continuation of standard recovery escalation. AI/ML-based collections prioritization tools shall be configured to flag, not bypass, potential hardship or vulnerability indicators for mandatory human review.

6.12 WRITE-OFF AND POST-WRITE-OFF RECOVERY GOVERNANCE

6.12.1 Write-Off Eligibility

6.12.1.1 An exposure may only be considered for write-off where it has been classified as Loss under Section 6.5.1.6, or where it has remained in Doubtful classification for a period exceeding the maximum threshold defined in the Provisioning Matrix, and where a documented recovery assessment concludes that further recovery effort is not commercially justified or that full provisioning has already been recognized.

6.12.2 Approval Authority

6.12.2.1 Write-offs shall be approved strictly in accordance with the Write-Off Approval Matrix maintained by GCRM and approved by the CRMC, escalating to the BRC for write-offs exceeding the threshold defined therein. No write-off may be approved by the originating business unit alone.

6.12.3 Write-Off Does Not Extinguish Legal Right to Recover

6.12.3.1 Write-off is an accounting and provisioning treatment only. It shall not be construed as, and shall not result in, waiver, release, or extinguishment of the Bank's legal right to pursue recovery from the borrower, guarantor, or through collateral enforcement, unless a separate, express waiver has been approved in accordance with Section 6.11.5.

6.12.4 Post-Write-Off Recovery Tracking

6.12.4.1 All written-off accounts shall continue to be tracked in the Written-Off Asset Register, with continued recovery efforts pursued in accordance with Section 6.11, and any subsequent recovery recognized in accordance with applicable accounting standards and reported to the CRMC and Finance.

6.12.5 Documentation Requirement

6.12.5.1 Every write-off decision must be supported by a Write-Off Memorandum documenting the classification history, provisioning coverage, recovery efforts undertaken prior to write-off, and the rationale for concluding that further recovery is not commercially justified.

6.13 GOVERNANCE OF AI/ML MODELS USED IN CREDIT MONITORING

6.13.1 Applicability

6.13.1.1 This Section applies to all AI/ML models, statistical models, and automated decision-support tools used in connection with early warning surveillance, classification support, provisioning calculation, restructuring assessment, or recovery prioritization under this Chapter, and operates in conjunction with Chapter 3, Section 3.11 (Model Risk Management Framework).

6.13.2 Foundational Principle

6.13.2.1 No AI/ML tool governed by this Chapter shall be granted autonomous decision-making authority over classification, provisioning, restructuring, write-off, or recovery escalation. Every such tool shall function solely in a decision-support capacity, and final accountability for every decision rests with the identified human officer or committee under Section 6.4.

6.13.3 Model Approval and Validation

6.13.3.1 No AI/ML model may be deployed in production for any purpose governed by this Chapter without: (i) independent validation by Model Risk Management; (ii) documented approval by the CRMC; (iii) inclusion in the Model Inventory maintained under Chapter 3, Section 3.11.4; and (iv) a defined human-in-the-loop control point at every stage where model output influences a consequential decision.

6.13.4 Ongoing Monitoring of Model Performance

6.13.4.1 Model Risk Management shall conduct periodic back-testing and performance monitoring of every model governed by this Section, at a frequency no less than quarterly, and shall report material performance degradation, bias, or drift to the CRMC immediately upon detection.

6.13.5 Explainability Requirement

6.13.5.1 Any AI/ML model used to generate an alert, score, or recommendation that materially influences a classification, provisioning, restructuring, or recovery decision must produce an explainable output sufficient to allow the reviewing human officer to understand the basis for the model's output. Black-box models that cannot produce such explainability shall not be used for these purposes without a documented, CRMC-approved compensating control.

6.13.6 Prohibition on Sole Reliance

6.13.6.1 No officer, committee, or business unit may state, represent, or record in any Bank document that a decision was made "by the model" or "by the system." Every documented decision record required under this Chapter must identify the accountable human decision-maker.

6.13.7 Audit Trail for AI/ML-Assisted Decisions

6.13.7.1 The Bank shall maintain a complete, immutable audit trail for every AI/ML-assisted decision governed by this Chapter, capturing model version, input data, output, human reviewer identity, decision taken, and rationale, retained in accordance with Section 6.20 and retrievable by Internal Audit, Compliance, Model Risk Management, and the Primary Regulator.

6.14 DOCUMENTATION AND EVIDENCE STANDARDS

6.14.1 General Principle

6.14.1.1 No action governed by this Chapter—classification, upgrade, downgrade, provisioning determination, restructuring, settlement, write-off, or recovery escalation—shall be deemed valid, complete, or audit-compliant unless supported by contemporaneous, retrievable documentary evidence meeting the standards of this Section.

6.14.2 Mandatory Contents of the Account Credit File

6.14.2.1 Every credit exposure governed by this Chapter shall maintain a complete Account Credit File containing, at minimum: the original Chapter 5 Credit Approval Memorandum; all subsequent classification decision records; all provisioning calculation records; all covenant monitoring records; all restructuring documentation, if applicable; all recovery and collections correspondence, if applicable; and all committee approval minutes referencing the account.

6.14.3 System of Record

6.14.3.1 All data required for classification and provisioning determination shall be maintained in the Bank's designated system(s) of record. Manual spreadsheets or offline records shall not be used as the authoritative source for classification or provisioning determinations, and any such manual record identified during audit shall be treated as a Control Deficiency under Chapter 3, Section 3.14.

6.14.4 Evidentiary Standard for AI/ML-Informed Decisions

6.14.4.1 Documentation of any decision informed by an AI/ML tool must independently satisfy the evidentiary requirements of the applicable Section of this Chapter, without relying on the AI/ML output as a substitute for human analysis, in accordance with Section 6.13.6.

6.14.5 Retrievability for Audit, Regulatory, and RAG Systems

6.14.5.1 All documentation required under this Section shall be structured, indexed, and stored in a manner that permits reliable retrieval by Internal Audit, Compliance, regulators, and the Bank's AI-powered document retrieval and governance systems, in accordance with the data governance standards of Chapter 12 (Data Governance and Information Management).

6.15 REPORTING REQUIREMENTS

6.15.1 Management Information System (MIS)

6.15.1.1 GCRM shall maintain a monthly Credit Portfolio Quality Dashboard, distributed to the CRMC, the CRO, and relevant business unit heads, covering: classification migration (upgrades, downgrades, new NPA formation); provisioning coverage ratios by classification stage; Watchlist account status and remediation progress; restructuring activity and post-restructuring performance; and recovery and write-off activity.

6.15.2 Committee Reporting

6.15.2.1 The CRMC shall receive, at each monthly meeting, a full portfolio quality package including all items in Section 6.15.1, together with any exception approvals granted under Section 6.18 during the reporting period.

6.15.3 Board Reporting

6.15.3.1 The BRC shall receive, at least quarterly, a Portfolio Quality and Classification Report summarizing portfolio credit quality trends, provisioning adequacy assessment, significant restructuring and write-off activity, Management Overlay disclosures under Section 6.9.7, and any Policy Breaches escalated under Section 6.18.

6.15.4 Regulatory Reporting

6.15.4.1 All regulatory returns and disclosures relating to asset classification, provisioning, and non-performing assets shall be prepared in accordance with Chapter 4, Section 4.8 (Regulatory Reporting Governance), and shall be reconciled against the internal MIS described in Section 6.15.1 prior to submission, with any variance investigated and documented.

6.15.5 Exception and Breach Reporting

6.15.5.1 All exceptions and Policy Breaches identified under Section 6.18 shall be reported to the CRMC monthly and to the BRC quarterly, in aggregate and, for material items, individually, in accordance with Chapter 2, Section 2.14.

6.16 INTERNAL AUDIT AND INDEPENDENT ASSURANCE

6.16.1 Independence

6.16.1.1 Internal Audit shall maintain full independence from GCRM, CRMU, and all business units in conducting assurance activity under this Chapter, reporting functionally to the Audit Committee in accordance with Chapter 2.

6.16.2 Scope of Assurance

6.16.2.1 Internal Audit's assurance activity under this Chapter shall include, at minimum: testing of classification accuracy on a risk-based sample; testing of provisioning calculation accuracy and completeness of supporting documentation; review of restructuring governance for evidence of Evergreening; review of write-off approvals for compliance with the Write-Off Approval Matrix; and testing of AI/ML human-override controls under Section 6.7.4 and Section 6.13.

6.16.3 Annual Assurance Plan

6.16.3.1 Internal Audit shall define, in the Annual Assurance Plan, the minimum sample sizes and testing frequencies applicable to this Chapter, which shall be no less rigorous than the immediately preceding year's plan absent documented justification approved by the Audit Committee.

6.16.4 Reporting of Findings

6.16.4.1 All Internal Audit findings relating to this Chapter shall be reported to the Audit Committee, the CRO, and, for findings rated significant or above, the BRC, together with a management action plan with assigned owners and target closure dates, tracked to completion in the Bank's issue-tracking system.

6.16.5 Escalation of Repeat Findings

6.16.5.1 Any finding relating to this Chapter that repeats for two consecutive audit cycles without remediation shall be automatically escalated to the BRC and treated as a Heightened Risk Item under Chapter 3, Section 3.16.

6.17 COMPLIANCE AND REGULATORY ALIGNMENT

6.17.1 Compliance Oversight Role

6.17.1.1 Compliance shall maintain oversight of this Chapter's alignment with all applicable regulatory requirements, in coordination with GCRM, and shall be the primary liaison with the Primary Regulator and host-country regulators on matters relating to asset classification, provisioning, and recovery practice.

6.17.2 Regulatory Change Management

6.17.2.1 Any change in applicable regulatory classification, provisioning, or recovery requirements identified by Compliance under Chapter 4, Section 4.5 (Regulatory Change Management) shall trigger a mandatory impact assessment by GCRM within thirty (30) calendar days, and, where required, an amendment to this Chapter under Section 6.21.

6.17.3 Conduct Risk Alignment

6.17.3.1 All recovery and collections activity governed by Section 6.11 shall be subject to Compliance monitoring for conduct risk, in accordance with Chapter 9, including monitoring of collections communications, complaint volumes, and hardship handling outcomes.

6.17.4 Regulatory Examination Support

6.17.4.1 GCRM and Compliance shall jointly coordinate the Bank's response to any regulatory examination, inspection, or inquiry relating to matters governed by this Chapter, ensuring complete and accurate provision of documentation within regulator-specified timeframes.

6.18 ESCALATION, EXCEPTION MANAGEMENT AND CONSEQUENCE

6.18.1 Exception Approval

6.18.1.1 Any deviation from a mandatory requirement of this Chapter—including monitoring frequency, classification timing, provisioning floors, restructuring eligibility, or write-off criteria—requires a documented, time-bound Exception Approval issued by the authority designated in the Delegated Exception Approval Matrix maintained by GCRM, which shall in no case be lower than the CRMC for any exception affecting classification or provisioning outcomes.

6.18.2 Exception Register

6.18.2.1 All approved exceptions shall be logged in the Exception Register, including the requesting party, the specific provision from which deviation is sought, the business justification, the approving authority, the expiry date of the exception, and the compensating controls applied. No exception shall be granted on a permanent or indefinite basis; all exceptions shall carry a defined expiry not exceeding twelve (12) months, subject to renewal upon fresh justification.

6.18.3 Policy Breach Definition and Escalation

6.18.3.1 A Policy Breach occurs where a mandatory requirement of this Chapter is violated without a valid, contemporaneous Exception Approval. Any Policy Breach identified by any party—business unit, GCRM, Compliance, Internal Audit, or external audit—shall be logged in the Policy Breach Register within five (5) Business Days of identification and escalated to the CRO.

6.18.4 Materiality-Based Escalation

6.18.4.1 Policy Breaches shall be escalated according to materiality: Low materiality breaches shall be remediated at business unit level with CRMU sign-off; Medium materiality breaches shall be escalated to the CRMC; High materiality breaches, and any breach involving suspected Evergreening, misclassification of a Significant Exposure, or manipulation of AI/ML override records, shall be escalated immediately to the CRO and BRC and, where applicable, reported to the Primary Regulator in accordance with Chapter 4, Section 4.10 (Regulatory Notification Obligations).

6.18.5 Consequence Management

6.18.5.1 Individual accountability for Policy Breaches shall be determined in accordance with Chapter 2, Section 2.14 (Accountability and Consequence Management), and may include performance consequences, remedial training, or referral to Human Resources and, where warranted, Legal and Compliance for disciplinary or regulatory action.

6.19 TRAINING AND COMPETENCY

6.19.1 Mandatory Training

6.19.1.1 All officers holding a role identified in the RACI under Section 6.4.9 shall complete mandatory training on this Chapter upon appointment to the role and on an annual refresher basis thereafter, covering classification standards, provisioning principles, restructuring governance, recovery conduct standards, and the appropriate use and limitations of AI/ML tools under this Chapter.

6.19.2 Competency Assessment

6.19.2.1 Completion of training shall be evidenced by a passing assessment score, recorded in the Bank's Learning Management System, and monitored by Human Resources in coordination with GCRM. Failure to complete mandatory training or achieve a passing score within the defined grace period shall result in suspension of the officer's classification, provisioning, or approval authority until remediated.

6.19.3 Specialized Training for AI/ML Oversight Roles

6.19.3.1 Officers designated as human reviewers of AI/ML outputs under Sections 6.7.4 and 6.13 shall receive specialized training on model limitations, override protocols, and documentation standards, delivered jointly by GCRM and Model Risk Management.

6.20 RECORD RETENTION

6.20.1 Retention Periods

6.20.1.1 All records required under this Chapter—including Classification Decision Records, Provisioning Calculation Records, Restructuring Registers, Write-Off Memoranda, Recovery Management System entries, Human Override Logs, and Committee minutes—shall be retained for a minimum period consistent with Chapter 1, Section 1.11 (Enterprise Record Retention Standards), and in no case less than ten (10) years from the date of final account resolution, or such longer period as required by applicable regulation or ongoing legal proceedings.

6.20.2 Retrievability Standard

6.20.2.1 All retained records shall be maintained in a format and system that permits retrieval within the timeframes specified by Internal Audit, Compliance, and regulatory requests, and shall be indexed to support machine-assisted retrieval by the Bank's AI-powered governance and audit systems.

6.21 POLICY REVIEW AND AMENDMENT

6.21.1 Periodic Review

6.21.1.1 This Chapter shall be formally reviewed no less frequently than annually by GCRM, with findings and recommendations submitted to the CRMC and, for material amendments, to the BRC for approval, in accordance with the governance process established in Chapter 1, Section 1.10.

6.21.2 Trigger-Based Review

6.21.2.1 An out-of-cycle review shall be triggered by: a material regulatory change identified under Section 6.17.2; a material portfolio quality event; a significant Internal Audit finding under Section 6.16.4; or a material change in the Bank's ECL methodology or AI/ML model inventory under Section 6.13.

6.21.3 Amendment Approval Authority

6.21.3.1 Non-material clarifications and administrative updates to controlled annexures (e.g., the Provisioning Matrix, Collateral Haircut Schedule) may be approved by the CRO and reported to the CRMC. Material amendments to the substantive provisions of this Chapter require CRMC recommendation and BRC approval.

6.21.4 Emergency Amendment

6.21.4.1 Where an immediate regulatory conflict is identified under Section 6.3.2, the CRO may issue an emergency interim amendment, effective immediately upon issuance, subject to ratification by the BRC at its next scheduled meeting and formal incorporation into this Chapter thereafter.

6.21.5 Version Control

6.21.5.1 All amendments shall be recorded in the Framework Issuance Register under Chapter 1, Section 1.9, with a clear statement of the change, its rationale, its approval authority, and its effective date. Superseded versions shall be retained in accordance with Section 6.20 and clearly marked as superseded.

6.22 CROSS-REFERENCES

6.22.1 This Chapter shall be read together with, and is subject to, the following related Chapters of the Framework: Chapter 1 (Governance Charter and Framework Architecture) for policy hierarchy, definitions, and document control; Chapter 2 (Board and Committee Governance) for committee authority and accountability provisions; Chapter 3 (Enterprise Risk Management Framework) for risk appetite, model risk management, and control deficiency escalation; Chapter 4 (Compliance and Regulatory Affairs Framework) for regulatory reporting and change management; Chapter 5 (Loan Policy Manual & Credit Decision Framework) for origination, underwriting, approval authority, covenant structuring, collateral valuation, and connected lending standards; Chapter 8 (Fraud Risk Management) for fraud referral obligations; Chapter 9 (Conduct Risk and Treating Customers Fairly) for recovery and hardship conduct standards; Chapter 11 (Third-Party and Outsourcing Risk Management) for collections agency governance; and Chapter 12 (Data Governance and Information Management) for data retrieval and system-of-record standards.

6.22.2 In the event any cross-referenced Chapter is amended in a manner that affects the operation of this Chapter, GCRM shall assess the impact within thirty (30) calendar days and initiate an amendment under Section 6.21 as necessary.

6.23 CONTROLLED ANNEXURES

6.23.1 The following documents are maintained as controlled annexures to this Chapter, subject to the version control and approval standards set out in Section 6.21, and are incorporated herein by reference: Annexure 6-A, Provisioning Matrix; Annexure 6-B, Collateral Haircut Schedule; Annexure 6-C, Early Warning Indicator Register; Annexure 6-D, Delegated Restructuring Approval Matrix; Annexure 6-E, Write-Off Approval Matrix; Annexure 6-F, Legal Recovery Approval Matrix; Annexure 6-G, Responsibility Assignment Matrix (RACI); Annexure 6-H, Model Inventory Extract (Credit Monitoring Models); and Annexure 6-I, Classification Decision Record Template.

6.23.2 Controlled annexures are maintained by GCRM and are subject to independent verification by Internal Audit as part of the assurance activity described in Section 6.16.

END OF CHAPTER 6

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